

mortgages and home equity loans). These payments equaled 18 percent of their net income.

Equally remarkable is the impact that different interest rates have on credit payments. Lower interest rates equal lower payments when compared over the same time frame. Take a look at this example with different mortgage interest rates (thirty-year-term). See how just one percentage point makes a difference in the monthly payment:

Adjustable Rate Mortgages

Mortgage:	\$200,000
Interest rate	8%
Monthly payment	\$1,467

If rates increase:

Interest rate	9%
Monthly payment	\$1,609

OR

Interest rate	10%
Monthly payment	\$1,755

If rates decrease:

Interest rate	7%
Monthly payment	\$1,330

OR

Interest rate	6%
Monthly payment	\$1,199

Melinda decided to swallow her pride and suggest to her relatives that for next Christmas they draw names out of a hat and buy gifts only for that person. She felt embarrassed and ashamed when she made this suggestion. To her amazement, her relatives thought it was a great idea. In fact, many of them had been thinking about suggesting this idea for years, but they decided not to because they didn't want to appear cheap.

It turned out that her relatives only appeared to be in control financially. They too had been contributing to the national average debt for the holidays primarily through purchasing with plastic. In fact, consumers spent a whopping \$438

